

Focus on Return on Equity, Not Earnings per Share

Most investors judge a company's annual performance by earnings per share, watching to see if they set a record or make a big increase over the previous year. But since companies continually add to their capital base by retaining a portion of their previous year's earnings, growth in earnings (which automatically increases earnings per share) is really meaningless. When companies loudly report "record earnings per share," investors are misled into believing that management has done a superior job year after year. A truer measure of annual performance, because it takes into consideration the company's ever-growing capital base, its return on equity—the ratio of operating earnings to shareholders' equity.

Calculate "Owner Earnings"

The cash-generating ability of a business determines its value. Buffett seeks out companies that generate cash in excess of their needs as opposed to companies that consume cash. But when determining the value of a business, it is important to understand that not all earnings are created equal. Companies with a high ratio of fixed assets to profits will require a larger share of retained earnings to remain viable than companies with a lower ratio of fixed assets to profits, because some of the earnings must be earmarked to maintain and upgrade those assets. Thus accounting earnings need to be adjusted to reflect the business's cash-generating ability.

A more accurate picture is provided by what Buffett calls "owner earnings." To determine owner earnings, add depreciation, depletion, and amortization charges to net income and then subtract the capital expenditures the company needs to maintain its economic position and unit volume.

Look for Companies with High Profit Margins

High profit margins reflect not only a strong business but management's tenacious spirit for controlling costs. Buffett loves managers who are cost-conscious and abhors managers who allow costs to escalate. Indirectly, shareholders own the profits of the business. Every dollar that is spent